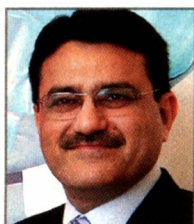


THE BIG CONNECTION

Broadband is the next big game-changer. The Government needs to grab the chance by opening it up to private players.

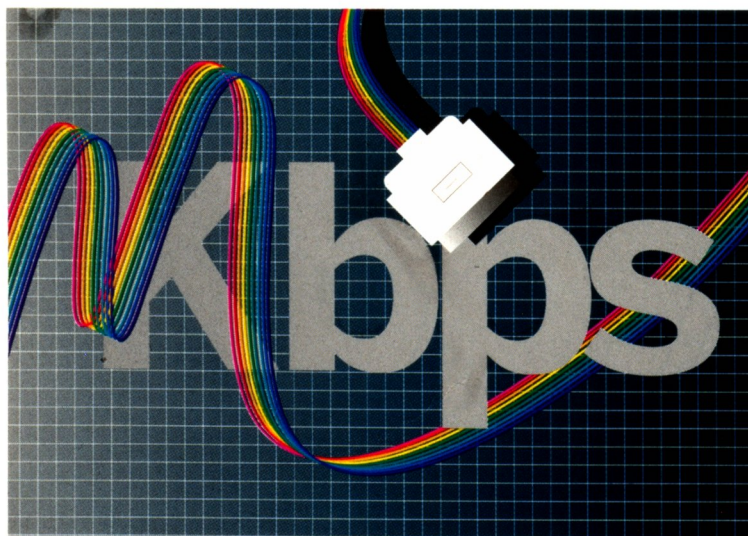


**MANOJ
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*CEO and JMD,
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Just as the charkha was the symbol of empowerment for Mahatma Gandhi, and modern industries the badge of development for Jawaharlal Nehru, telecom connectivity is the symbol of an emerging power embracing a modern, global culture. The mobile phone has empowered and emancipated the young and old across India. Instant connectivity empowers people to overcome distances and weak infrastructure like roads or railways. But above all, the mobile phone connects people and joins them to the mainstream of development. Barriers break when people talk.

The liberalisation of the telecom sector has led to the swift spread of mobile phones across the country. Compared to 38 million fixed-phone connections, there are over 440 million mobile-phone users. It has been projected that there will be over a billion customers by 2015. Mobile tele-density also has an established causal relationship with the economic growth of India. A recent study says that states with high mobile penetration can be expected to grow faster than those with lower mobile penetration rates.



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Mobile phones alone, however, cannot drive economic growth. Unless commensurate infrastructure and other complementary skills are in place, the full potential of the technology will not be realised. Industry and the Government must now come together to tackle some of the key challenges facing the sector to be able to bring in the next growth phase. Some solutions:

► **Overcome the broadband block** While the Indian telecom industry surpassed the expectations on voice, broadband is lagging behind. The growth of telecom services will be driven by wireless and thus, mobile broadband provides an optimum and expeditious solution to provide e-education, e-governance, telemedicine and entertainment for India's rural and remote areas. 3G will open up India to a whole new world of possibilities. Auctions of 3G spectrum should be completed expeditiously to roll out these services by mid-2010.

► **Rationalise taxes** Today, 30 per cent of a customer's telecom bill is in taxes and levies. Simplifying these charges will go a long way with bringing further affordability.

► **Roll out telecom infrastructure** Doing so rapidly is a must for services to reach every part of the country. To enable this, there should be a single window clearance for approvals and permissions across states. An electricity board connection for telecom infrastructure should be considered a public utility connection. Tower sharing among operators should be encouraged and incentivised by the government.

► **Provide capital** The Universal Services Obligation fund, started in 2002 to provide access to telecom services to people in rural and remote areas, now has a big corpus. This should be used to kick-start development, especially to lay down high speed fibre connectivity in villages and unconnected remote locations.

► **Ensure adequate spectrum availability** It is a key for telecom operators. A transparent and comprehensive policy framework on spectrum is imperative.

as told to Nandini Vaish